



“We will have both active and passive schemes and we will have a lot of debt products as well as we are very focussed on that segment. We are one of the few experienced asset managers to apply for a licence”

DEEPAK SHENOY
FOUNDER & CEO, CAPITALMIND

had to ultimately exit the highly competitive arena. Global majors like Morgan Stanley, Goldman Sachs, JPMorgan, Fidelity and ING, among others, tried their luck in the Indian MF space but ultimately moved out by selling their India business to competition. “People have forgotten all those who have perished,” says Dharendra Kumar, CEO of Value Research, an MF tracking company. “This is a business where many dimensions are completely commoditised. Which means you have to be a really good manager. Performance is a key

driver of MFs. If you perform, then you do well. If you make money for investors, they will invest with you.”

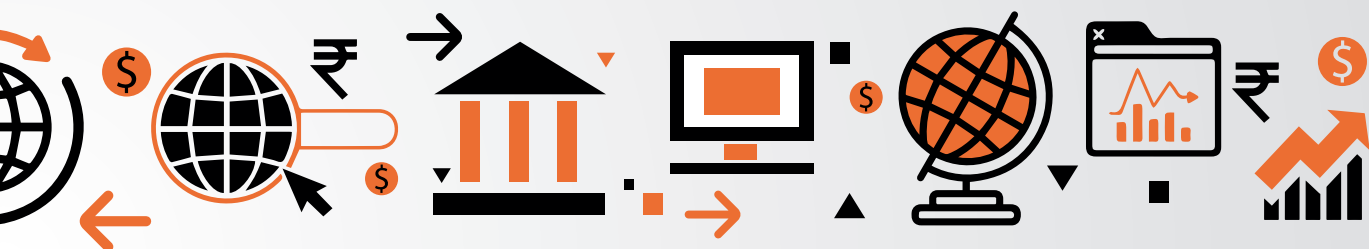
The element of performance has become all the more important now because the pace of penetration of MFs and the influx of new investors are at record levels. If one takes into account the growth in the number of folios—a unique number that the fund houses give to the investor—then the industry is in the midst of its best-ever phase. Data from AMFI shows that the number of folios has grown by over 20 per cent each year in 2022

and 2021—a huge jump from the earlier single-digit annual rises. Further, monthly inflows through systematic investment plans or SIPs are also at record levels with October witnessing SIP inflows of ₹13,041 crore—the first time that the monthly flows breached the ₹13,000-crore mark. In November, SIP flows were pegged at ₹13,306 crore.

“The MF industry has grown significantly in the last few years. Newer investors are making their foray into MFs as can be witnessed by the increasing folio count and number of unique investor accounts,” says Kaustubh Belapurkar, Director of Fund Research at Morningstar, a global firm tracking MFs. “Given the increasing market, there is room for new players that bring something unique to the table. Many of these already come with large customer bases from their existing businesses, allowing them to cross-sell to their existing users.”

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SOURCE VALUE RESEARCH



2014

- ▶ Aditya Birla Sun Life MF acquires ING MF
- ▶ HDFC MF acquires Morgan Stanley MF

2004

- ▶ UTI AMC buys IL&FS MF
- ▶ Principal AMC buys Sun F&C MF
- ▶ PNB MF merged with Principal AMC

2002

- ▶ Registration of Jardine Fleming MF, Indian Bank MF and Anagram Wellington MF cancelled
- ▶ Templeton India AMC buys Pioneer ITI MF
- ▶ Taurus MF acquires all BOI MF schemes